

The Power of Data and AI Behind Andar's Turnaround Story

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Andar's dramatic turnaround offers an important lesson for the fashion industry. Once weighed down by financial difficulties and weak performance, the Korean athleisure brand returned to profitability and significantly improved its earnings after being acquired by Eco Marketing in May 2021. In 2024, Andar posted record-breaking revenue of KRW 236.8 billion, while its operating margin rose from 9% in 2023 to 14%.

Its success was undoubtedly driven by several strategic initiatives, including differentiated product development, category expansion, and broadening its customer base beyond women to include men and children. Yet a closer look at the post-acquisition transformation under Eco Marketing—a company renowned for performance marketing—reveals that data-driven management was at the heart of Andar's resurgence.

The foundation of this success lies in performance marketing, demonstrating the critical role that data-driven operations, Business Intelligence (BI), and AI now play in modern retail. Performance marketing is a digital marketing model in which advertisers pay only when customers complete measurable actions such as clicking an advertisement, making a purchase, registering as a member, or downloading an app. In other words, it relies on real-time data to rigorously measure campaign effectiveness and continuously optimize social media marketing efforts.

Behind Andar's success is a big data platform that made this level of performance marketing possible. Rather than simply collecting point-of-sale (POS) sales data, the company integrated and analyzed customer behavior, purchasing patterns, and product response data. These insights enabled Andar to develop products that more accurately reflected customer needs, contributing significantly to its commercial success.

Today's fashion marketing is characterized by the large-scale, repeated exposure made possible through social media. In an environment flooded with content and advertising, it is no longer feasible to determine which campaigns are effective—or which customers will respond to which products—based on intuition alone. Competitive advantage increasingly depends on data-driven decision-making: analyzing the characteristics of best-selling products, tracking customer responses in real time, and rapidly refining marketing strategies based on measurable results.

This is precisely where Business Intelligence (BI) becomes essential. Data collected through big data platforms is connected to BI and analytics environments, enabling companies to determine which products should be produced in greater quantities and which marketing channels deserve greater investment. Importantly, while systems are responsible for collecting and analyzing data, people remain responsible for interpreting the insights and making final business decisions.

As the volume of real-time social media marketing data continues to grow, analyzing campaign performance, evaluating results, and determining the next course of action has become increasingly difficult for humans to manage alone. This is where AI delivers its greatest value. AI agents can analyze data to predict customer behavior and evaluate marketing performance. Combined with

generative AI, they can also automatically create advertising copy and marketing content, accelerating both execution and optimization.

Andar's success demonstrates that fashion companies can no longer compete on creativity, trends, and intuition alone. Data-driven product planning, inventory and supply chain management, BI-powered decision-making, and real-time marketing optimization through AI agents will increasingly define competitive advantage. To respond effectively to rapidly changing markets and unpredictable consumer demand, companies must combine sophisticated data analysis with agile execution. As Andar's experience illustrates, data-driven management is no longer a strategic option—it has become an essential foundation for sustainable growth in the fashion industry.